What is the FRB?

The board at the core of the US central banking system

Federal Reserve Board

The Federal Reserve Board is the Board of Governors of the Federal Reserve System.

Its role

The Board is a central part of the US central banking system, known as the Fed. It is involved in monetary policy and bank supervision, pursuing price stability and maximum employment.

“Fed” and “FRB” are not identical terms

The Fed refers to the Federal Reserve System as a whole. FRB here refers to the Board within that system. Its organizational structure differs from the Bank of Japan.

The FRB and the FOMC

The Board and regional Reserve Banks participate in monetary policy decisions

FRB: Federal Reserve Board

The Board is a central institution of the US central banking system. It is responsible for monetary policy and bank supervision, among other duties. Its governors also serve on the FOMC.

FOMC: Federal Open Market Committee

The Board’s governors and regional Reserve Bank presidents participate in the FOMC. It decides monetary policy, including the target for policy interest rates.

Reading financial news

A news report that “the FRB raised rates” often refers to a decision by the FOMC.

The effects of rate hikes and cuts

Interest rates affect both business activity and equity valuations

Typical channels of influence

Channel	Rate hikes	Rate cuts
Borrowing costs	Increase	Decrease
Consumption and investment	Restrained	Supported
Corporate earnings	Face headwinds	Receive support
Equity valuations	Downward pressure	Potential upward support

Stocks do not always move in a fixed direction

Economic conditions, inflation and differences from market expectations matter. Even when rates are cut, stocks may fall if concerns about an economic downturn are strong.

US monetary policy and Japanese stocks

Effects spread through US rates, exchange rates and US equities

01 Monetary policy

FOMC decisions and the outlook for future policy.

02 US interest rates

Effects on bond yields and companies’ financing costs.

03 USD/JPY

Influenced by the US-Japan interest-rate differential and market expectations, among other factors.

04 US stocks

Changes in earnings expectations, equity valuations and capital flows.

05 Japanese stocks

Exchange-rate movements and US equity trends affect different industries.

Several channels operate at the same time

Policy alone does not determine the direction of exchange rates or stock prices.